CNSIP revamp plan

2 Jun 2025

Executive summary

1. **Performance and revamp target**
   a. May-25 24K ADO, L6M growth +19% mainly driven by growth in TH and PH
   b. **Stretched target 78K ADO by Dec-25 (3.4x vs May-25)**, by aggressively expanding seller/SKU coverage, supported by marketing optimization + seller education/support optimization
2. **Revamp levers**
   a. **More SKUs (+144mil SKUs, +48.7K ADO)**
      i. Migrate SKUs for Direct sellers via CNSIP if they are not willing to self-list, enabled by system solution; +117 mil SKUs
      ii. Improve CNSIP SKU migration efficiency via system/ops issue fix alongside local SIP; +0.4 mil SKUs
      iii. Pitch/re-pitch sellers new to local market; +27M SKUs
   b. **Cheaper price (+5.4K ADO)**
      i. Lower marketing markup from 20% to 5-6% benchmarking local SIP; +3.1K ADO
      ii. Lower settlement price via a) system solution to choose the lower settlement price if seller lists the same SKU in multiple markets; b) negotiate settlement price with seller via mass pitching pool + 1:1 RM pitching; +2.3K ADO
   c. **Better marketing (+2.4K ADO)** via ramping up ads for new SKUs
   d. **Better seller experience**
      i. Simplify escrow via 1) remove mgt fee & SPP program; 2) make it clear how the settlement price is simulated to seller
      ii. Improve seller education and comms by improving channels, materials, and proactive seller feedback collection
3. **Next steps - need close collaborations with BPM, BI, and CNCB SMT to achieve the aggressive target jointly**
   a. Improve seller education/comms materials and kick off seller pitching/re-pitching by Jun
   b. Launch product solution for SKU migration and escrow simplification by end-Jun
   c. Automate end-to-end seller process and reporting to accommodate much larger SKU/seller pool by end-Jul
   d. Continuous improvement on pricing and marketing alongside local SIP

Overview

Performance: CNSIP grew moderately L6M (+19% L6M, %CB+0.2pp); growth led by TH/PH; decline in SG/VN in-line with CB trend; decline in Latam in-line with platform budget cut

Table: CNSIP ADO performance L6M across 10 CNSIP markets

Import Market	Dec-24	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Growth L6M
ADO Total	**20,438**	**19,383**	**22,369**	**21,460**	**22,837**	**24,357**	**19%**
SG	3,421	2,730	3,007	2,952	3,361	3,311	-3%
MY	646	672	760	830	838	895	39%
TH	3,358	3,837	4,728	4,927	5,324	5,222	56%
PH	4,005	3,510	4,016	3,923	4,629	5,398	35%
VN	3,022	2,626	3,314	2,762	2,869	2,761	-9%
TW	931	863	1,185	1,207	1,150	1,192	28%
BR	2,943	3,544	3,878	3,559	3,532	4,220	43%
MX	451	309	236	208	214	240	-47%
CO	884	687	639	550	450	518	-41%
CL	777	605	606	542	471	598	-23%
% CB Total	**0.6%**	**0.7%**	**0.8%**	**0.8%**	**0.9%**	**0.8%**	**0.2%**
SG	1.9%	1.6%	1.8%	1.7%	2.0%	1.9%	0.0%
MY	0.2%	0.2%	0.2%	0.2%	0.2%	0.2%	0.0%
TH	0.7%	0.9%	1.1%	1.1%	1.3%	1.2%	0.5%
PH	0.4%	0.4%	0.5%	0.4%	0.6%	0.5%	0.1%
VN	0.4%	0.4%	0.5%	0.5%	0.6%	0.5%	0.1%
TW	1.4%	1.5%	1.9%	2.0%	2.0%	2.0%	0.6%
BR	1.6%	1.5%	1.7%	1.4%	1.5%	1.5%	-0.1%
MX	5.2%	5.0%	4.7%	3.8%	3.9%	4.5%	-0.7%
CO	18.1%	17.3%	18.8%	17.7%	17.5%	21.3%	3.2%
CL	11.2%	10.8%	10.8%	9.7%	8.3%	10.5%	-0.7%

Highlights

24k ADO as of May-25; overall moderate growth L6M at 19%; %CB +0.2% L6M

Topline growth led by TH, PH

- TH: +56% traffic %CB with ads optimization and platform traffic growth
- PH: more platform FSV0 vouchers MoM

Topline decline observed in SG, VN, Latam

- SG: CB opt-out from LPP $0.10 program; restored for CNSIP from Feb-25 but not CB focus program
- VN: CB PRM cut; in-line with CB trend
- LATAM: tax hike and online marketing budget cut; in-line with platform trend

Revamp levers: Focus on maximizing seller/SKU coverage potential with 1) more SKUs; 2) cheaper price; 3) better marketing; 4) better seller experience; target +55k ADO by Dec-25

Focus	#	Initiative	Progress and MTD impact	Next-steps and ETA	Impact (Dec-25)
More SKUs	**1**	**Improve SKU migration**	• Built overall SKU funnel per market and identified opportunity for SIP to close SKU gap [completed, discussion today] • Revived non-performing SKUs for top 6 CNSIP lanes in mid-Apr, recovered ~1.1M SKUs; +623 ADO • On-going fixing ops/system issues to improve efficiency alongside local SIP by Jul	• Pitch/repitch sellers with SKU gap in each local market to join/rejoin CNSIP [Jun to Oct]	+144mil SKUs +48.6K organic ADO
Cheaper price	**2a**	**Reduce settlement price**	• Conducted BAU price negotiation for 5-10% discount to top SKUs on monthly basis, +1.4K ADO	• System solution to allow dynamic settlement price based on lowest among seller's direct shops [ETA end-Jun] • Shop level settlement price negotiation via mass tool and RM pitching [Jun onwards]	+2.3K ADO
	2b	**Reduce marketing markup**	• Due to legacy issue, CNSIP has 20% marketing markup, leading to price uncompetitiveness • 1) Reduced marketing markup from 20% to 13% from mid-Apr; 2) removed marketing markup for 48M non-performing SKUs to reach their lowest price; +1.6K ADO	• Reduce marketing markup from 13% to 5-6% benchmarking CNCB LT [ETA 6-Jun]	+3.1K ADO
Better marketing	**3**	**Optimize ads spending**	• Ramped up ads for 24.7K new SKU in Apr, +310 ADO	• Continue to iterate new ads pool to drive new SKU growth	+2.4K ADO
Better seller experience	**4a**	**Simplify escrow**	• Removed management fee for all sellers by 28 May • Stopped pitching new sellers to SPP program (optional marketing package)	• Explore system solution to make it clear to seller how settlement amount/calculation logic [ETA end-Jun]	-
	4b	**Improve ops and seller education**	• Updated Seller education and comms relating to management fee removal • Aligned collaboration model with CN SMT on 1) pitching scope; 2) SMT to support CNSIP pitching	• Improve CNSIP SMT ops process with automation [ETA end-Jun] • Strengthen seller education/support, incorporating CN SMT feedback / suggestion [ETA 15 Jun]	-

Projection: CNSIP targets 78K ADO by Dec-25 (3.4x vs May-25), mainly driven by much larger seller/SKU coverage, supported by marketing optimization + seller education/support improvement

Metrics	Apr 25	May 25	Jun 25	Jul 25	Oct 25	Nov 25	Dec 25	Dec-25 vs May-25
0) Baseline (organic growth with platform)	18,250	17,212	17,044	20,745	22,153	23,957	24,001	▲ 39%
1) More SKUs	0	0	0	274	18,558	33,551	48,661	
2a) Reduce settlement price	1267	1370	1,400	2,092	2,179	2,262	2,267	▲ 66%
2b) Reduce marketing markup	1629	1654	1,771	2,186	2,922	3,052	3,147	▲ 90%
3) Optimize ads spending	1692	2180	2,326	2,370	2,388	2,389	2,389	▲ 10%
[-] Ads budget cut from management fee removal	0	0	-2,222	-2,277	-2,537	-2,777	-2,817	
Total CNSIP	22,838	22,416	20,319	25,390	45,663	62,434	77,648	▲ 246%
Total CB	2,646,593	2,992,342	3,054,320	3,103,698	3,333,392	3,601,272	3,662,525	▲ 22%
...CNSIP as % CB	0.86%	0.75%	0.78%	0.82%	1.37%	1.73%	2.12%	▲ 1.26%

*SKU # growth following SKU migration assumption in the later pages. Assume SKU efficiency following new SKU growth trends
**Mgmt fee removal will reduce profit margin for CNSIP

Highlights

- **Aggressive target 78K ADO by Dec-25 (3.5x vs May-25)**
- **Next steps - need close collaborations with BPM, BI, and CNCB SMT to achieve the aggressive target jointly**
  - Improve seller education/comms materials and kick off seller pitching/re-pitching by Jun
  - Launch product solution for SKU migration and escrow simplification by end-Jun
  - Automate end-to-end seller process and reporting to accommodate much larger SKU/seller pool by end-Jul
  - Continuous improvement on pricing and marketing alongside local SIP

Revamp lever #1 - More SKUs

More SKUs - overview: Grow CNSIP SKU supply from 18M to 162M by Dec-25, via [A] migrate SKUs not self-listed for GPs with Direct shops; [B] fix CNSIP migration system/ops issue; [C] re-pitch GPs previously opted-out CNSIP

Table: SKU migration assessment for all 10 CNSIP markets

	SKU supply funnel	All 10 CNSIP markets		SG		MY		TH		PH		VN		TW		BR		MX		CO		CL	
		SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%
As-is (May-25)	**Total CNCB MTSKUs on SHP [1] = [2] + [3]**	**1688**	**100%**	**169**	**100%**	**169**	**100%**	**169**	**100%**	**169**	**100%**	**169**	**100%**	**169**	**100%**	**169**	**100%**	**169**	**100%**	**169**	**100%**	**169**	**100%**
	Live SKUs in each local market [2]	**255**	**15%**	**37**	**22%**	**44**	**26%**	**41**	**24%**	**42**	**25%**	**33**	**19%**	**17**	**10%**	**6**	**3%**	**7**	**4%**	**14**	**8%**	**14**	**8%**
	...in Direct shops	236	14%	36	21%	44	26%	39	23%	41	24%	32	19%	16	10%	5	3%	4	3%	9	5%	9	5%
	...in CNSIP shops	18	1%	1	1%	1	0.3%	1	1%	1	1%	0.5	0.3%	1	1%	0.2	0.1%	3	2%	5	3%	5	3%
	SKU opportunity in each local market [3]	**1433**	**85%**	**132**	**78%**	**124**	**74%**	**128**	**76%**	**126**	**75%**	**136**	**81%**	**151**	**90%**	**163**	**97%**	**162**	**96%**	**155**	**92%**	**155**	**92%**
	...[A] GP has Direct shop, SKUs not self-listed	842	50%	105	62%	107	64%	98	58%	91	54%	82	48%	93	55%	79	47%	72	43%	58	34%	58	34%
	...[B] GP has CNSIP shop, SKUs not migrated	131	8%	7	4%	3	2%	5	3%	5	3%	3	2%	13	8%	10	6%	24	14%	31	18%	32	19%
	...[C] GP has no shops in this market	461	27%	20	12%	14	8%	25	15%	31	18%	51	30%	46	27%	75	44%	66	39%	66	39%	66	39%
To-be (Dec-25)	**Incremental SKU supply via CNSIP**	**144**	**9%**	**19**	**11%**	**19**	**11%**	**17**	**10%**	**16**	**10%**	**16**	**9%**	**17**	**10%**	**-**	**-**	**15**	**9%**	**13**	**8%**	**13**	**8%**
	Total SKU supply via CNSIP	**162**	**10%**	**20**	**12%**	**19**	**11%**	**19**	**11%**	**17**	**10%**	**16**	**9%**	**18**	**11%**	**0.2**	**0.1%**	**18**	**11%**	**17**	**10%**	**18**	**11%**

[As-is]

- **1688M total SKU supply potential across 10 CNSIP market, assuming all 169M unique CNCB MP SKUs are available in each market**
- **255M SKUs (15% potential) currently available across 10 markets (~10-26% in SEA+TW, ~3-8% in Latam); 14% contributed by Direct shops, 1% contributed by CNSIP shops**
- **1433M SKUs (85% potential) currently not available, in 3 segments**
  - [A] (50% potential) the GP run the Direct shop in the local market, but does not list all their SKUs available on Shopee platform to this market
  - [B] (8% potential) the GP has CNSIP shop in the local market, but CNSIP is not able to migrate all their SKUs available on Shopee platform to this market
  - [C] (27% potential) the GP has no shops at all in the local market

[To-be] Grow CNSIP supply from 18M (1% potential) to 162M (10% potential) by Dec-25, by improving migration in each of the 3 segments [Deep-dive on following pages]

- [A] Pitch the GPs to migrate their remaining SKUs via CNSIP (Jul to Oct, +117M SKUs)
- [B] Improve CNSIP SKU migration efficiency via system/ops issue fix and non-performing SKU revival (Jun to Jul, +0.4M SKUs)
- [C] Re-pitch GPs that rejected/opted-out CNSIP previously (Jun to Aug, +27M SKUs)

Next step: Prepare migration/pitching plan and system plan with CB ops and BPM teams

[A] GP has Direct shop, SKUs not self-listed: Migrate SKUs for Direct sellers via CNSIP if they are not willing to self-list, enabled by system solution; +117 mil SKUs by Dec-25

Table: SKU migration assessment for [A] GP has Direct shop, SKUs not self-listed

	[A] GP has Direct shop, SKUs not self-listed	All 10 CNSIP markets		SG		MY		TH		PH		VN		TW		BR		MX		CO		CL	
		SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%
As-is (May-25)	Total CNCB MTSKUs in this segment [1] = [2] +[3]	1,086	100%	141	100%	152	100%	139	100%	133	100%	115	100%	110	100%	85	100%	77	100%	67	100%	67	100%
	Live SKUs in each local market [2] (self-listed in Direct shop)	236	22%	36	25%	44	29%	39	29%	41	31%	32	28%	16	15%	5	6%	4	6%	9	14%	9	13%
	SKU gap in each local market [3] (not self-listed in Direct shop)	842	78%	105	75%	107	71%	98	71%	91	69%	82	72%	93	85%	79	94%	72	94%	58	86%	58	87%
To-be (Dec-25)	Incremental supply via CNSIP	117	11%	17	12%	17	11%	15	11%	14	11%	12	11%	14	13%	-	-	10	14%	9	13%	9	13%
	Total SKU supply via CNSIP	**117**	**11%**	**17**	**12%**	**17**	**11%**	**15**	**11%**	**14**	**11%**	**12**	**11%**	**14**	**13%**	**-**	**-**	**10**	**14%**	**9**	**13%**	**9**	**13%**

Highlights

- Currently SKU gap segment [A] is not addressed by SIP, we only pitch sellers without Direct shops in a particular local market
- Plan to address this segment now given the significant SKU supply opportunity to benefit local markets (842mil SKUs, 78% of all SKUs in this segment; 50% of total CNCB supply)
- Plan to kick off seller pitching and migration effort in Jul to Oct period once system solution is in place
  - Key issue to be addressed by system solution: once a SKU is listed in SIP shop, seller not able to list it in Direct shop due to duplicate listing restriction; seller has to apply to SIP team to unlist the SKU from SIP shop, then they can list in Direct shop. This is inconvenient and may lead to PR issues as seller may miss the key campaign period
  - System solution designed: 1) phase 1 (ETA end-Jun): allow temporary duplicated listing between a Direct and a SIP shop, so that seller self-listing is not restricted; SIP ops to do BAU manual delisting of duplicated SKUs from SIP shops; 2) phase 2 (ETA pending BPM assessment): allow automatic unlisting of duplicated SKUs from SIP shops
- Target to add 117mil SKUs from this segment across 10 local markets by Dec-25
  - 430mil SKUs out of 842mil gap (~50%) are eligible for CNSIP; ineligible shops include 1) no orders L30D; 2) poor ops metrics; 3) blacklisted sellers, etc.
  - 117mil SKUs out of 430mil eligible pool to be migrated, assuming 1) 60% pitching success rate; 2) 50% migration success rate; 3) no increment for BR due to local limits on CNCB SKU penetration

[B] GP has CNSIP shop, SKUs not fully migrated: Improve CNSIP SKU migration efficiency via system/ops issue fix alongside local SIP; +0.4 mil SKUs by Dec-25

Table: SKU migration assessment for [B] GP has CNSIP shop, SKUs not fully migrated

	[B] GP has CNSIP shop, SKUs not fully migrated	All 10 CNSIP markets		SG		MY		TH		PH		VN		TW		BR		MX		CO		CL	
		SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%
As-is (May-25)	Total CNCB MTSKUs in this segment [1] = [2] +[3]	149.2	100%	8.1	100%	3.4	100%	6.2	100%	6.0	100%	3.6	100%	14.3	100%	10.0	100%	26.2	100%	35.3	100%	36.2	100%
	Live SKUs in each local market [2] (migrated via CNSIP shop)	18.2	12%	1.3	16%	0.5	15%	1.3	20%	1.2	20%	0.5	13%	1.3	9%	0.2	2%	2.6	10%	4.8	14%	4.6	13%
	SKU gap in each local market [3] (not migrated successfully by CNSIP)	131.0	88%	6.8	84%	2.9	85%	4.9	80%	4.8	80%	3.1	87%	13.0	91%	9.8	98%	23.6	90%	30.5	86%	31.6	87%
	... 1. Failed SIP onboarding criteria (shop level)	111.5	75%	5.2	65%	2.2	66%	4.1	66%	4.1	68%	2.4	67%	10.8	75%	8.2	82%	20.7	79%	26.6	75%	27.3	76%
	... 2. Preparing for migration	0.3	0%	0.0	1%	0.0	1%	0.0	1%	0.0	1%	0.0	1%	0.0	0%	0.0	0%	0.0	0%	0.0	0%	0.0	0%
	... 3. Migration issue (system bug, ops limit)	0.0	0%	0.0	0%	0.0	0%	0.0	0%	0.0	0%	0.0	0%	0.0	0%	0.0	0%	0.0	0%	0.0	0%	0.0	0%
	... 4. Non-performing SKUs	0.5	0%	0.1	1%	0.0	1%	0.0	1%	0.0	0%	0.0	1%	0.1	0%	0.1	1%	0.0	0%	0.1	0%	0.1	0%
	... 5. Shops/SKUs issues	9.1	6%	0.7	9%	0.3	8%	0.4	7%	0.4	6%	0.3	8%	1.1	7%	0.5	5%	1.4	5%	2.0	6%	2.1	6%
	... 6. Unknown reasons	9.6	6%	0.7	9%	0.3	10%	0.3	6%	0.3	5%	0.4	11%	1.0	7%	0.9	9%	1.5	6%	1.9	5%	2.1	6%
To-be (Dec-25)	Incremental supply via CNSIP	0.4	0%	0.1	1%	0.0	1%	0.0	1%	0.0	0%	0.0	1%	0.1	0%	0.0	0%	0.0	0%	0.1	0%	0.1	0%
	Total SKU supply via CNSIP	**18.6**	**12%**	**1.3**	**17%**	**0.5**	**16%**	**1.3**	**21%**	**1.2**	**20%**	**0.5**	**14%**	**1.4**	**10%**	**0.2**	**2%**	**2.6**	**10%**	**4.8**	**14%**	**4.6**	**13%**

Highlights

Total 131mil SKU gap in this segment, action plan and target for each reason code as below

1. 111.5mil failed SIP onboarding criteria: no actions proposed as the current criteria are justifiable to mitigate fraud/ops/P&L risks
2. 0.3mil preparing for migration: to migrate by mid-Jun as planned; +0.15mil SKUs assuming 50% migration success rate
3. 0.0mil due to system/ops issue: this is because most system/ops issues have been resolved over past 2 months alongside local SIP; no further action needed
4. 0.5mil due to non-performing SKU revival: have revived 1.1mil from top 6 lanes; remaining 0.5mil from non-top lanes to be revived by mid-Jun as planned; +0.25mil SKUs assuming 50% migration success rate
5. 9.1mil problematic shops/SKUs: no actions proposed
6. 9.6mil due to unknown reasons: in progress of deciphering the fail reasons with BPM and BI alongside local SIP; no target for this segment for now

[C] GP has no shop in this market: Aligned with CNCB SMT team on the scope split on seller acquisition into local market; CNCB to focus on ST/Mall GGPs with no presence in the market; CNSIP to take care of the rest

Table: #GGP view (CNCB vs CNSIP scope split)

[C] GP has no shops in this market	Aligned scope split	All 10 CNSIP markets	SG	MY	TH	PH	VN	TW	BR	MX	CO	CL
# GGPs in this segment		**126,915**	70,299	55,599	68,173	64,940	85,143	60,939	99,707	89,508	91,448	90,596
(1) Direct target pool	GGPs with no presence in the market, ST or Mall sellers	**1,397**	357	137	163	107	212	452	595	548	664	660
(2) SIP target pool	2 sub-segments 1) GGPs with no presence in the market, LT and non-Mall 2) GGPs have some of their GPs present in the market, but not all - CNSIP to cover all GPs under one GGP	**125,518**	69,942	55,462	68,010	64,833	84,931	60,487	99,112	88,960	90,784	89,936

Highlights

- **Aligned scope split between CNCB and CNSIP**
  - GGPs with no presence at all in one local market
    - Short-tail and/or Mall GGPs: CNCB SMT to pith for Direct first; then to pitch for CNSIP if the GGP confirms not to join Direct
    - Long-tail and non-Mall GGPs: CNSIP to pitch for SIP
  - GGPs with some of their GPs/shops in one local market, but not all GPs/shops are present
    - CNSIP to pitch for SIP
- **Next step: CNCB SMT and CNSIP SMT team finalize detailed collaboration actions to ensure smooth seller experiences in onboarding via CNSIP, including**
  - Target seller list alignment to ensure no missing-out/duplication
  - CNSIP ops (shop opening, SIP shop return to Direct, etc.)
  - Seller comms/education on CNSIP via seller materials and RM education
  - Joint marketing event/initiatives

[C] GP has no shop in this market: for SIP target pool, pitch/re-pitch Jun-Aug; +27M SKUs by Dec-25

Table: SKU migration assessment for [C] GP has no shop in this market [CNSIP scope only]

	[C] GP has no shops in this market	All 10 CNSIP markets		SG		MY		TH		PH		VN		TW		BR		MX		CO		CL	
		SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%	SKU (mil)	%
As-is (May-25)	**Total CNCB MTSKUs in this segment**	457	100%	20	100%	14	100%	25	100%	31	100%	51	100%	45	100%	74	100%	65	100%	66	100%	65	100%
	...ineligible for migration	373	82%	14	68%	10	72%	20	81%	25	81%	45	88%	36	80%	62	84%	53	81%	54	82%	53	82%
	... rejected SIP	67	15%	5	26%	3	24%	4	16%	5	15%	5	9%	8	17%	9	13%	10	15%	9	14%	9	14%
	... eligible, preparing for migration	17	4%	1	6%	1	4%	1	3%	1	4%	2	3%	1	3%	2	3%	3	4%	3	4%	3	4%
To-be (Dec-25)	Incremental supply by CNSIP	27	7%	2	12%	1	10%	2	7%	2	7%	3	5%	2	4%	-	-	5	7%	4	6%	5	7%
	Total SKU supply by CNSIP	**27**	**7%**	**2**	**12%**	**1**	**10%**	**2**	**7%**	**2**	**7%**	**3**	**5%**	**2**	**4%**	**-**	**-**	**5**	**7%**	**4**	**6%**	**5**	**7%**

Highlights

- Total 457mil SKU potential in this segment, however 373mil are ineligible for migration; **total migration potential pool 84mil (18% total potential)**
- **Target +27mil SKUs from this segment across 10 local markets by Dec-25**
  - "Rejected SIP" segment: +20mil SKUs (out of 67mil SKU gap), assuming 1) 70% seller pitching success rate; 2) 50% SKU migration success rate; 3) no increment for BR due to local limits on CNCB SKU penetration
  - "Eligible, preparing for migration" segment: +7mil SKUs (out of 17mil SKU gap), assuming 1) 50% SKU migration success rate; 2) no increment for BR due to local limits on CNCB SKU penetration

More SKUs - projection: Target to complete CNSIP SKU growth initiatives before 11.11., +48.7K ADO uplift potential by Dec-25

Table: CNSIP SKU migration improvement and topline impact by import market

Import market	CNSIP SKU projection (mil)								May-25 vs Dec-25	
	May-25	Jun-25	July-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	SKU # (mil)	ADO**
SG	1	1	3	9	15	20	20	20	+19	5,981
MY	1	1	1	7	14	19	19	19	+19	6,570
TH	1	1	2	8	14	19	19	19	+17	11,951
PH	1	1	2	7	13	17	17	17	+16	5,787
VN	0.5	0.5	2	7	12	16	16	16	+16	11,415
TW	1	1	3	8	14	18	18	18	+17	4,462
BR*	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2	-	-
MX	3	3	5	10	15	18	18	18	+15	916
CO	5	5	7	11	15	17	17	17	+13	753
CL	5	5	7	12	15	18	18	18	+13	825
Total	**18**	**18**	**32**	**80**	**127**	**162**	**162**	**162**	**+144**	**48,660**

* BR SKU growth is based on assumption of projected SKU count for Q3-25 and Q4-25 capped at 0.2M (due to strict CB SKU % control in BR)
** ADO uplift considers only organic ADO growth without marketing support

Highlights

- Plan to improve SKU migration systematically since Q3-25, increase SKU supply to 144M by Q4-25 by completing [A]migrate SKUs not self-listed for GPs with Direct shops; [B] fix CNSIP migration system/ops issue; [C] re-pitch GPs previously opted-out CNSIP
  - Jun-Jul: +14mil SKUs, mainly driven by 0.4mil from [B] and 14mil from [C]
  - Aug: +48mil SKUs, mainly driven by 35mil from [A], 13mil from [C]
  - Sep-Oct: +82mil SKUs, mainly driven by remaining 82mil from [A]
- Organic ADO uplift potential of 48.7K (excluding SKUs boosted by marketing initiatives)

Revamp lever #2 - Cheaper price

Price markup (CN-PH example): Reduced listing price by 7% Apr vs Mar mainly by reducing marketing mark-up; plan to reduce by another 4% post mgt fee removal, with lower marketing markup and settlement price

Table: CNSIP pricing markup breakdown (CN-PH example)

#	Components (USD)	March 25	Mark-up	April 25	Mark-up	June (E)	Mark-up	
A	CN Settlement Price	$2.21	-	2 $2.34	-	$2.26	-	Deep-dive
B	Logistic Costs - Hidden Fee (avg 140g)	$1.19	54%	$1.19	51%	$1.19	53%	
C	OPEX	$0.20	9%	$0.20	9%	$0.20	9%	
	RR	$0.01	0%	$0.01	0%	$0.01	0%	
	COD	$0.00	0%	$0.00	0%	$0.00	0%	
	FX	$0.19	9%	$0.19	8%	$0.19	8%	
D	PH Platform Fee	$0.47	21%	$0.44	19%	$0.45	20%	
E	Marketing (Ads + Rebates)	1 $1.06	48%	$0.65	28%	$0.32	14%	Deep-dive
F	Management Fee	-$0.22	-10%	3 -$0.23	-10%	$0.00	0%	
H	PH Final Selling Price (A+F)	$4.90	122%	$4.58	96%	$4.42	96%	

Highlights (using CN-PH as an example)

[As-is] $4.58 listing price in Apr vs $4.90 in Mar (-7%)

1. Reduced CNSIP price markup from 122% to 96% (-26pp) in Apr vs Mar, mainly by reducing marketing markup by 20pp from 48% to 28% (%listing price from 22% to 14%)
- CNSIP Apr mark up 96% with key markup components are 1) 51% logistics cost (CN SLS fee); 2) 19% import market platform fee; 3) 28% marketing markup (%listing price 14%)

[To-be] $4.42 listing price in Dec vs $4.58 in Apr (-4%)

1. Lower marketing markup further by 14pp to 14% (%listing price 7%) [ETA Jun-25]
2. Lower CN seller settlement price by ~4% through 1) system solution to choose the lower settlement price if seller lists the same SKU in multiple markets [ETA Jul-25]; 2) negotiate settlement price with seller via mass pitching pool + 1:1 RM pitching [Jun onwards]
3. The above 2 initiatives will lead to overall price reduction, despite the negative pricing impact of 10% management fee removal

1 Lower marketing markup: Removed marketing mark-up for 3.6M non-performing (not order generating after migrating 2 months) SKUs in May, achieving 1.6K ADO uplift; +3.1K ADO by Dec-25

Table: Marketing markup reduction and topline impact by import market

Import Market	Price Reduction	May-25 ADO Actual	Dec-25 ADO Potential*
SG	-8%	510	468
MY	-5%	104	278
PH	-7%	379	183
TH	-9%	280	348
VN	-9%	50	407
TW	-13%	206	456
BR	-3%	27	404
MX	-2%	17	235
CO	-4%	27	170
CL	-2%	24	197
Total	**-8%**	**1,624**	**3,147**

* Drop in ADO potential considering partial SKU detrend towards year-end

Highlights

- Removed all marketing markup for 3.6M non-performing SKUs to reach their lowest price based on cost for 52% of total SKU; **achieved 1.6K ADO uplift in MTD May-25** after mass set up completed in end Mar
- **3.1K ADO uplift potential by Dec-25,** with weekly addition of new SKUs via migration + automated price drop by system + LATAM price reduction

2 Lower settlement price: a) system solution to choose the lower settlement price if seller lists the same SKU in multiple markets; b) negotiate settlement price with seller via mass pitching pool + 1:1 RM pitching

	a) Pick lower P price	b) Settlement price negotiation
Process	**System solution** to choose the lowest settlement price to migrate. More details in next page. **deep dive**	• Leverage existing mass price negotiation tool (SIP rate tool) to propose 5-10% SIP shop level price reduction for seller to accept • For selected top sellers/SKUs, CNCB SMT agrees to help with 1:1 RM pitching if sellers non-responsive to mass tool
Price reduction	10% SKU price -10%	25% SKU price -10%
ADO uplift potential	ADO uplift +276	ADO uplift +1,991

2a Lower settlement price: When seller has a SKU listed in multiple markets, system to track the multiple settlement prices and always use the lowest one for CNSIP settlement

Illustration: Choosing lowest simulated settlement price when the SKU is listed in multiple Direct shops

MY

MY selling price (seller set): 12.9 RM ($2.91)
MY settlement price (simulated): 7.4 RM ($1.67)

*Settlement price = [MY listing price * (1-plt fee%)- MY SKU hidden fee]/ exchange rate [simulate seller income backwards from MY listing price]*

TH

TH selling price (seller set): 89 THB ($2.65)
TH settlement price (simulated): 51.7 THB($1.54)

*Settlement price = [TH listing price * (1-plt fee%)- TH SKU hidden fee]/ exchange rate [simulate seller income backwards from TH listing price]*

→ Default settlement price - lowest among all = 51.7 THB ($1.54)

→ Migrate to SG

SG selling price = SGD 8.67

SG price = (settlement price + SLS hidden fee) x (1+ A plt fee%) (1+ country margin% + shop margin% + item margin%)

Product solution options and recommendations

Option	Description	Pros	Cons	Dev Effort
[Recommended] Real-Time Lowest P Shop Pricing	Prices are calculated live each time based on the lowest P shop	- Flexible, price always reflects current lowest - No extra data synchronization needed	- More complex system logic at runtime - Sellers may not clearly see which price is used (need more illustrations on seller side) - Potential price fluctuations	9-11 weeks
Precomputed Lowest Price on MTSKU	Lowest price is pre-calculated and stored on the MTSKU	- Clear and transparent pricing for sellers - Stable pricing, updated periodically	- Requires complex data sync, higher development effort - Longer development time	10-12 weeks

Highlights

As-is

- 18% CNCB MTSKUs are self-listed in multiple markets
- SIP settlement price follows the first Direct shop that we use to migrate SKUs to destination market
- The settlement price may not be the lowest across seller's Direct shops

To-be (system solution)

- System monitors the settlement prices if the same SKU is listed in multiple markets/shops
- Always use the real-time lowest settlement price for CNSIP orders
- Sellers will be informed on how settlement price is chosen

Revamp lever #3 - Better marketing

Ads spending performance [CNSIP-PH example]: Better CPO but worse ROAS vs CNCB LT. Next step to 1) reduce markup further, adjust based on price/ads trade-off analysis; 2) allocate more budget to new SKU

Table: CNSIP ads performance vs CNCB LT (CN-PH as an example)

		CN-PH SIP		CNCB 0-10 (LT)	
Metrics		Dec'24	Mar'25	Dec'24	Mar'25
Coverage	**ADO**	3976	3892	96,034	136,066
	...Old SKUs	3573	3631	79,453	127,081
	...New SKUs	403	261	16,580	8,984
	% ADO from Ads	52%	55%	21%	17%
	...Old SKUs	51%	59%	21%	16%
	...New SKUs	53%	8%	26%	32%
	Total SKU#	925,614	812,746	22,800,232	22,575,397
	...Old SKUs	190,528	242,287	12,406,773	12,564,471
	...New SKUs	735,086	570,459	10,393,459	10,010,926
	1 **% SKUs on Ads**	2.4%	1.3%	1.0%	1.4%
	...Old SKUs	7.4%	3.3%	1.2%	1.8%
	...New SKUs	1.1%	0.4%	0.9%	0.8%
Performance	2 **Ads ROI**	3.6	6.1	7.2	7.1
	...Old SKUs	4.0	6.4	7.8	7.4
	...New SKUs	2.2	1.6	5.5	5.3
	3 **Ads CPO**	$1.4	$0.8	$1.3	$1.4
	...Old SKUs	$1.2	$0.8	$1.2	$1.3
	...New SKUs	$3.0	$5.4	$1.7	$1.7
	Ads ABS	$4.8	$4.9	$9.5	$9.7
	...Old SKUs	$4.6	$4.9	$9.6	$9.8
	...New SKUs	$6.7	$8.5	$9.0	$8.8
Spending	**Daily Ads Spending ($ usd)**	$2,792	$1,754	$26,995	$32,315
	...Old SKUs	$2,143	$1,641	$19,972	$27,609
	...New SKUs	$649	$113	$7,023	$4,706

Highlights

Using CN-PH as illustration, post marketing markup reduction in Mar-24,

Ads coverage

1 % SKUs on ads dropped to 1.3% with lower budget, but still on par with 1.4% for comparable CNCB LT sellers

- Next step to allocate more budget to new SKUs, benchmarking CNCB LT

Ads Performance

2 Ads ROI optimised from 3.6x in Dec-24 to 6.1x in Mar'25; worse than 7.1x of CNCB LT; lower for both old and new SKUs

3 Ads CPO optimized from $1.4 in Dec'24 to $0.8 in Mar-25; better than $1.4 of CNCB LT sellers

- **Next step:** further cut ads markup to local SIP level as the baseline to improve ROI; subsequently assess markup level similarly to local SIP price/ads trade-off study

Revamp lever #4 - Better seller experience

Better seller experience: Based on survey for 1.3K sellers rejecting CNSIP, top rejection reasons are 1) complicated settlement price, 2) convert to Direct, 3) lack of understanding on SIP, 4) lack of sales

#	Top opt-out reasons	% surveyed seller	Details from seller interview	Revamp plan
1	**Don't understand settlement price / settlement price too low**	**31%**	Do not understand SIP settlement price ● Confused between listing price (decided by SIP) vs settlement price they will get ● Do not understand how settlement price is estimated (e.g., which direct shop is used as the base, how SIP simulates settlement price from seller's listing price) Settlement price is too low ● Loss-making after deducting 10% management fee ● SPP program (optional marketing package) has the co-share voucher components which is out of seller control - loss making after deducting SPP program cost	● [Done] Removed management fee ● [Done] Stopped pitching for SPP program 1 **[Next-step] Simplify escrow display to seller, make it clear to seller how settlement price is simulated [ETA end-Jun] (deep-dive)**
2	**Want to convert to Direct**	**27%**	(Not an issue, valid reason and SOP in place to return shop to Direct once monthly upon seller request)	● [Next-step] Automate shop-return process to allow weekly shop return [ETA pending BPM assessment]
3	**Unclear seller education and shop visibility**	**15%**	● Lack channel to understand CNSIP as the pitching is done with mass TOS pop-up ● No visibility on their SIP shop, no visibility on listing and price, until the order is generated ● Worry about SIP shop need their efforts	2 **[Next-step] Improve seller education/comms/support, incorporating CNCB SMT feedback and collaboration [ETA end-Jun] (deep-dive)**
4	**Lack of sales/orders**	**5%**	(Seller concern mainly on ROI - they are charged 10% management fee / SPP program fee but no sales/orders; expect less concern on this point with 1) management fee removal; 2) better seller education)	● [On-going] Improve SKU migration and marketing ROI to drive higher sales

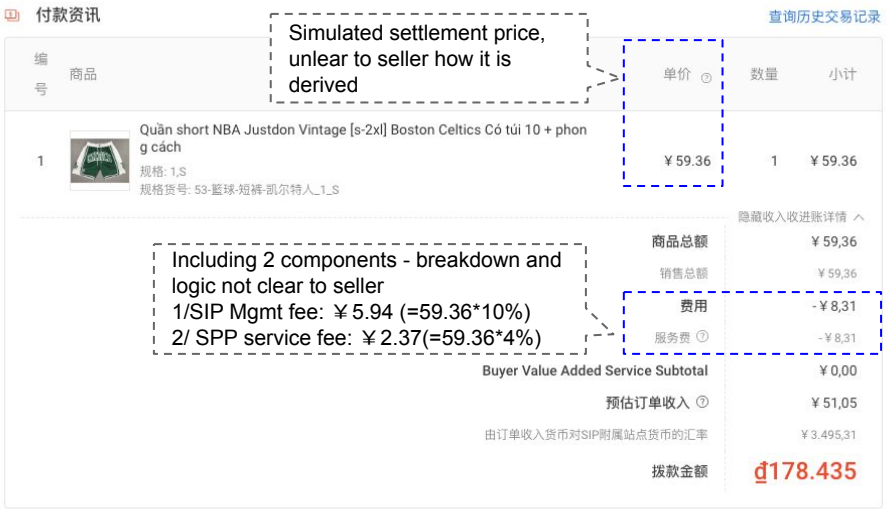
1 Simplify escrow: 1) remove management fee & SPP program; 2) make it clear how the settlement price is simulated to seller

As-is

1. Don't understand **how 单价 is set**
2. Don’t understand **how 费用 is calculated**

To-be

1. Add permanent label to show where the 单价 is taken from;
2. Add 单价 simulation logic next to the price
3. Remove management fee and SPP service fee



Simulated settlement price, unlear to seller how it is derived

Including 2 components - breakdown and logic not clear to seller
1/SIP Mgmt fee: ￥5.94 (=59.36*10%)
2/ SPP service fee: ￥2.37(=59.36*4%)

Add floating window next to 单价:
“单价(SIP 成本价)为SIP预估的您的自营店收入;计算基于您自营店的前端定价，扣除自营店的运费，平台费等“

2

1 Add label here:
“单价取自您TW自营店的商品SIP成本价; TW shop id: XXXXXX”

SIP成本价simulation logic is displayed in TW shop

3

2 Improve seller education and comms: Focus on improving seller comms channels, materials, and proactive seller feedback collection, incorporating feedback and expertise from CNCB SMT

Group	Current progress	Next-steps and ETA
1. Prep comms channel	• Existing channels used for pitching and comms: 1) CNSC pop-up; 2) CNSC announcement	• Add new channels for SIP seller comms 1) 微信公众号; 2) SEH banner; 3) CNSC banner [completed] • Strengthen “Reply needed + auto opt-in” in Pop-up title for reminding sellers [ETA 6 Jun]
2. Prep pitching/onboarding materials	• Improved SEH article and FAQ	• Improve materials further with 1) flow chart / visual guide; 2) videos / webinar links [ETA end-Jul] • Build knowledge library on SIP [ETA end-Jul] • Build monthly training course for SIP sellers/RMs [ETA end-Jul] • Join RM stand-up meeting to call out FAQ and educate RM [BAU weekly]
3. Collect seller feedback and improve	• Rely on 1) CS/RM escalations; 2) seller feedback from opt-out forms • Added to FAQ for common pain points	• Optimize seller survey / CS survey to collect feedback and pain points from sellers proactively [ETA end-Jun] • Feedback real time to BPM/ops team to improve seller support process [BAU] • Explore online BAU SIP status checking in 卖家自助站 [ETA end-Jul]
4. Collaborate with CNCB initiatives	-	• Participate CNCB seller events [BAU]

2 Improve acquisition and SMT process: Current complex manual process; next step to work with CB ops, CB SMT, BI, and BPM to accelerate and automate the process

Group	Step	Time needed	Pain point	Proposed solution and ETA
1. Pitching prep (~5-7 working days)	1a. Pitching list prep	1 day	Manual process to ● Check accuracy of seller list pulled by BI ● Convert BI list to PN format for uploading to PN registration system	Work with BI to ensure accuracy and automate format change [ETA: end-Jun]
	1b. SKU limit check	2-3 days	Acquisition each month limited to ● BR: 325k limit (1% for CNSIP; 13% for overall CB) ● Non-BR markets: 1mil SKU migration per market	Non-BR markets: aligned SKU migration limit increase with CB ops [Completed] [No solution for BR as CB SKU penetration in BR is limited, SIP marketing team needs to prioritize SKUs to migrate]
	1c. PN slot booking	1 day	Need to 抢坑位 every month; may not be able to secure slot	Fix monthly SIP slot
	1d. RM comms	1 day	-	-
2. Pitching & onboarding (~11-14 working days)	2a. Mass pitching	7 days	- (7 days standard notice period for seller to respond)	-
	2b. Result consolidation	2 days	Manual process to ● Convert result to shop open format for SIP ops ● Slow processing time due to large data file	Work with BI to ensure accuracy and automate format change [ETA: end-Jun]
	2c. Shop opening	3-5 days	- (same as local SIP)	Work with BPM to automate SIP shop opening (for both CN and local SIP) [ETA: pending CBT review]
3. Post-onboarding follow-up (Daily)	3a. Chase ERP binding	2 hours/week	Weekly mass PN sellers	System notice Automate ERP binding process [ETA: pending CBT review]
	3b. Chase Payee ID binding	2 hours/week	Weekly mass PN sellers Need to mass bind 80% for sellers, but only 50% success rate Shop frozen for unsuccessful cases leading to topline loss	Automated system notice Work with BPM to improve binding success rate [ETA: 4 June] Automate payee ID binding [ETA: Q3 if feasible in 3PP] Explore with CB ops to exclude SIP shops from being frozen
	3c. CSS/RM support	3 days/week	Daily manage sellers/CSS/RM inquiries	Explore 卖家自助站 [ETA: end of June]
	3d. Offboarding	3 weeks	Low frequency (once a month)	Review and simplify the process [ETA: mid-June] Automate CN SIP return shops process [ETA: pending CBT review]